



**U.S. Department of Transportation
Maritime Administration**

Justification for Other than Full and Open Competition

1. Identification of the agency and the contracting activity.

U.S. Department of Transportation (USDOT), Maritime Administration (MARAD), Office of Acquisition Management (OAM), 1200 New Jersey Avenue, SE, Washington, DC 20590.

2. Nature and/or description of the action being approved.

MARAD intends to modify the Vessel Acquisition Management (VAM), Ready Reserve Force (RRF) Recapitalization contract 693JF721D000007 to increase the maximum contract ceiling to complete the work required from Crowley Government Services, Inc (CGS).

3. Description of the supplies or services required to meet the agency's needs (including the estimated value).

46 U.S.C. § 57100(a) requires the Secretary of Transportation to maintain a National Defense Reserve Fleet (NDRF). The RRF is a subset of vessels within MARAD's NDRF. The RRF is supported by the Department of Defense (DoD), Navy's strategic sealift recapitalization program to address the expanding logistical gap needed to address the nation's mission objectives.

Contract 693JF721D000007 was awarded to Crowley Government Services, Inc. (CGS) on July 2, 2021, for the VAM services for the Recapitalization of the RRF to fulfill DoD sealift requirements. The contract scope includes the acquisition of vessels; surveys and business cases analysis; reflagging and outfitting of each acquired vessel; and the upgrade and repairs of vessels.

Challenges due to vessel conditions and used-ship market impacts increased the overall contract estimate. A modification is required to increase the contract ceiling by \$400M from \$638M to \$1,038M.

4. Statutory authority permitting other than full and open competition.

41 U.S.C. § 3304(a)(1) and FAR 6.302-1, only one responsible source and no other supplies or services will satisfy agency requirements, permits MARAD to use other than competitive procedures for this activity.

5. **Demonstration that the proposed contractor’s unique qualifications or the nature of the acquisition requires use of the authority cited.**

CGS has satisfactorily performed under the RRF Recapitalization contract since its award in 2021, however external cost drivers impacted the total amount needed to complete the work. Factors such as- (a) cost of acquired ships, (b) changes in regulatory framework for compliance, and (c) increased operational cost (due to schedule), has impacted the total amount to complete this contract. An increase in the contract ceiling is required to complete the contract. MARAD and CGS have both made significant investments in this contract that recompeting the requirement would not result in recoverable savings for the Government.

CGS has completed assessment and inspection of the acquired vessels; identified the efforts required to reflag the vessels; negotiated lay berth; and secured qualified repairment to complete the work. It is not typical in the industry, for one vessel management company to use the assessment and inspection completed by another company. A new contractor would result in having to re-do work already accomplished by CGS.

In addition to the duplicative work, transitioning the contract will also result in other additional cost. Other costs anticipated with a recompete include the cost to transition/handover work to the new contractor, cost to shutdown the current contractor operation, and cost for the new contractor to ramp-up operation for reflagging. The government estimates the cost to transition at \$100M¹. This is in addition to the needed increased ceiling value from this action.

Lastly, a recompete will result in unacceptable delay. These ships are scheduled for delivery as specified below to support sealift capacity. The longer the gap to delivery, the more the nation would be at national security risk.

- Cape Arundel September 2025
- Cape Cortes June 2026
- Cape San Juan May 2025
- Cape Starr June 2025
- Cape Sable August 2025
- Cape San Roman November 2025
- Cape Suarez Point December 2025

Based on the above findings, no other contractor will be able to meet MARAD’s needs without an unacceptable delay in delivery and a substantial duplication of cost and resources that are unlikely to be recovered through competition. Therefore it is in the best interest of the Government to increase the ceiling maximum of contract 693JF721D000007.

¹ Without a ceiling increase, ship crews will depart and vessels will be placed in lay-up status. Restarting operations would incur estimated restoral and certification costs of \$42M, subcontract re-competition costs of \$24.5M, additional crew costs of \$25.2M, and layberth expenses of \$9M—totaling approximately \$100.7M in added costs and delays.

6. **Description of efforts made to ensure that offers are solicited from as many potential sources as is practicable, including whether a notice was or will be publicized.**

In accordance with FAR subpart 6.305, "Availability of the justification," this justification shall be publicly available within 14 days after processing the contract action.

7. **Determination that the anticipated cost to the Government will be fair and reasonable.**

The proposed action will increase the contract ceiling. Cost/price evaluations are done at individual task order level. MARAD will evaluate each order under this contract for fair and reasonableness.

8. **Description of the market research conducted and the results or a statement of the reason market research was not conducted.**

MARAD conducted extensive market research during the pre-award phase. Market research included (a) issuing sources-sought announcement; (b) contacting knowledgeable individuals in Government and the maritime industry (i.e., Naval Sea Systems Command, Military Sealift Command, various Ready Reserve Force Ship Managers (Companies), and Maritime Security Program companies; (c) publishing three Requests for Information; and (d) hosting two industry days. Additional market research to support this JOFOC was not conducted since the cost of awarding a new contract vehicle would not result in cost or time savings.

9. **Other facts supporting the use of other than full and open competition.**

The contract is funded 100% by the Navy Program through reimbursable agreement and is fully funded through the FY25 Future Years Defense Plan (FY25-FY29).

10. **A listing of the sources, if any, that expressed, in writing, an interest in the acquisition.**

Not applicable.

11. **Statement of the actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required.**

Based on the above, the Government does not foresee a feasible alternative to the action proposed on this documentation.

12. **Certification.**

I certify that the information provided in this justification is complete and accurate to the best of my knowledge and belief.

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CERTIFICATION (Certification by the technical or requirements personnel that the justification is accurate and complete):

RICHARD DAVID FONTANA Digitally signed by RICHARD DAVID FONTANA
Date: 2025.02.28 09:10:36 -05'00'

PRINTED NAME/SIGNATURE OF
TECHNICAL/REQUIREMENTS PERSONNEL

DATE

CONTRACTING OFFICER'S CERTIFICATION:

IAW FAR 6.303 Justifications and FAR 6.304 Approval of Justification. The Contracting Officer's signature represents certification that the justification is accurate and complete to the best of here knowledge and belief.

DENISE CAROL
CLARKE Digitally signed by DENISE
CAROL CLARKE
Date: 2025.02.28 09:15:03 -05'00'

PRINTED NAME/SIGNATURE OF CONTRACTING
OFFICER

DATE

**CHIEF OF CONTRACTING OFFICE, MARITIME ADMINISTRATION
APPROVED:**

BRUCE ANTHONY
MARKMAN Digitally signed by BRUCE
ANTHONY MARKMAN
Date: 2025.03.04 09:57:09
-05'00'

03/04/2025

PRINTED NAME/SIGNATURE OF CHIEF OF
CONTRACTING OFFICE

DATE

**HEAD OF CONTRACTING ACTIVITY, MARITIME ADMINISTRATION
APPROVED:**

DELIA PARSON
DAVIS Digitally signed by DELIA
PARSON DAVIS
Date: 2025.03.06
10:04:47 -05'00'

03/04/2025

PRINTED NAME/SIGNATURE OF HEAD OF
CONTRACTING OFFICE

DATE

**SENIOR PROCUREMENT EXECUTIVE, U.S. DEPARTMENT OF TRANSPORTATION
APPROVED:**

PRINTED NAME/SIGNATURE OF SPE

DATE